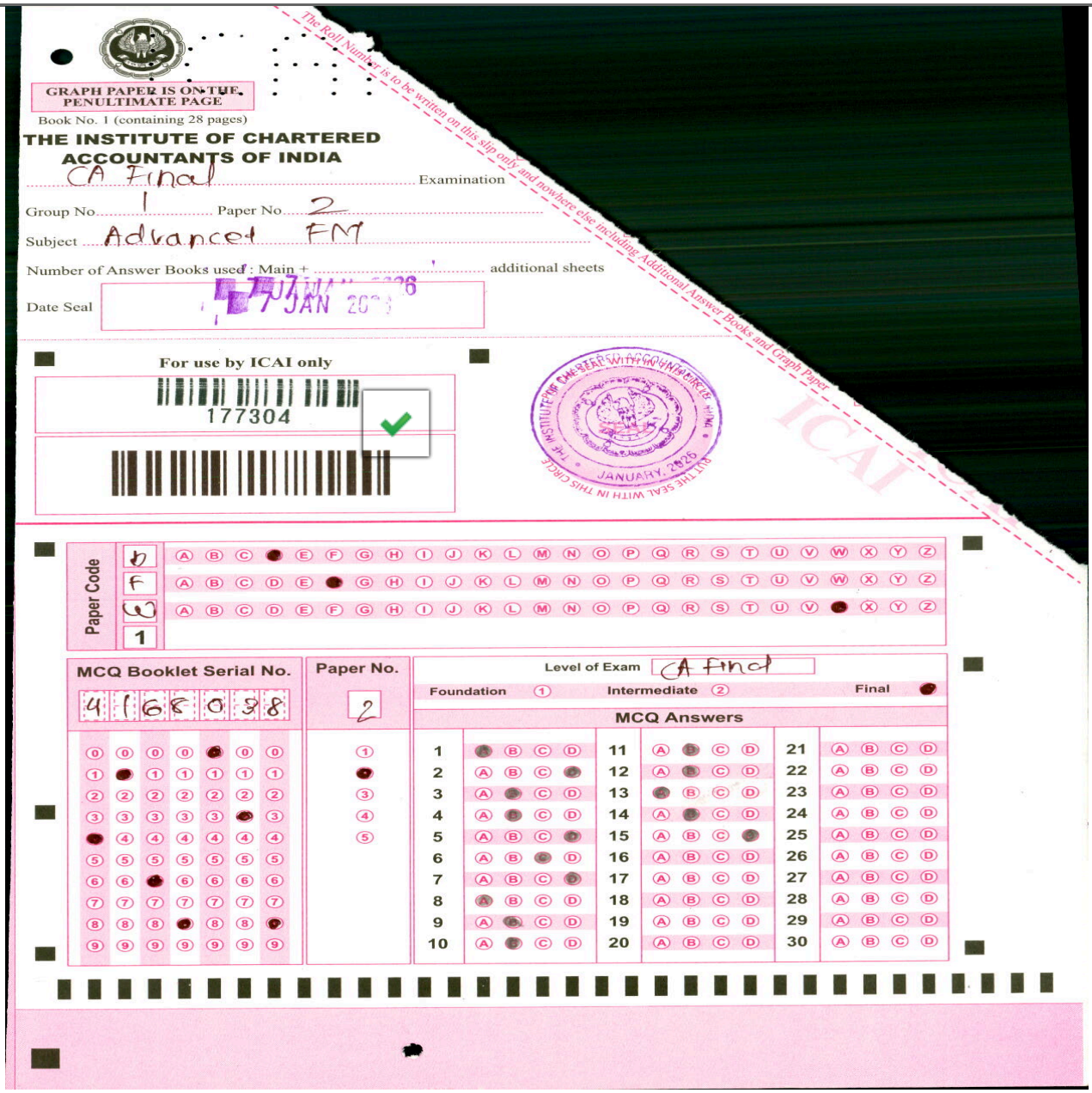
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Code:	**FN2AF177304**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**49**



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA Final Examination

Group No. 1 Paper No. 2

Subject Advanced FM

Number of Answer Books used : Main + additional sheets

Date Seal 17 JAN 2026

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper

For use by ICAI only

177304

JANUARY 2026

Paper Code: b F W 1

MCQ Booklet Serial No. 4168028

Paper No. 2

Level of Exam: CA Final (Foundation ① Intermediate ② Final ●)

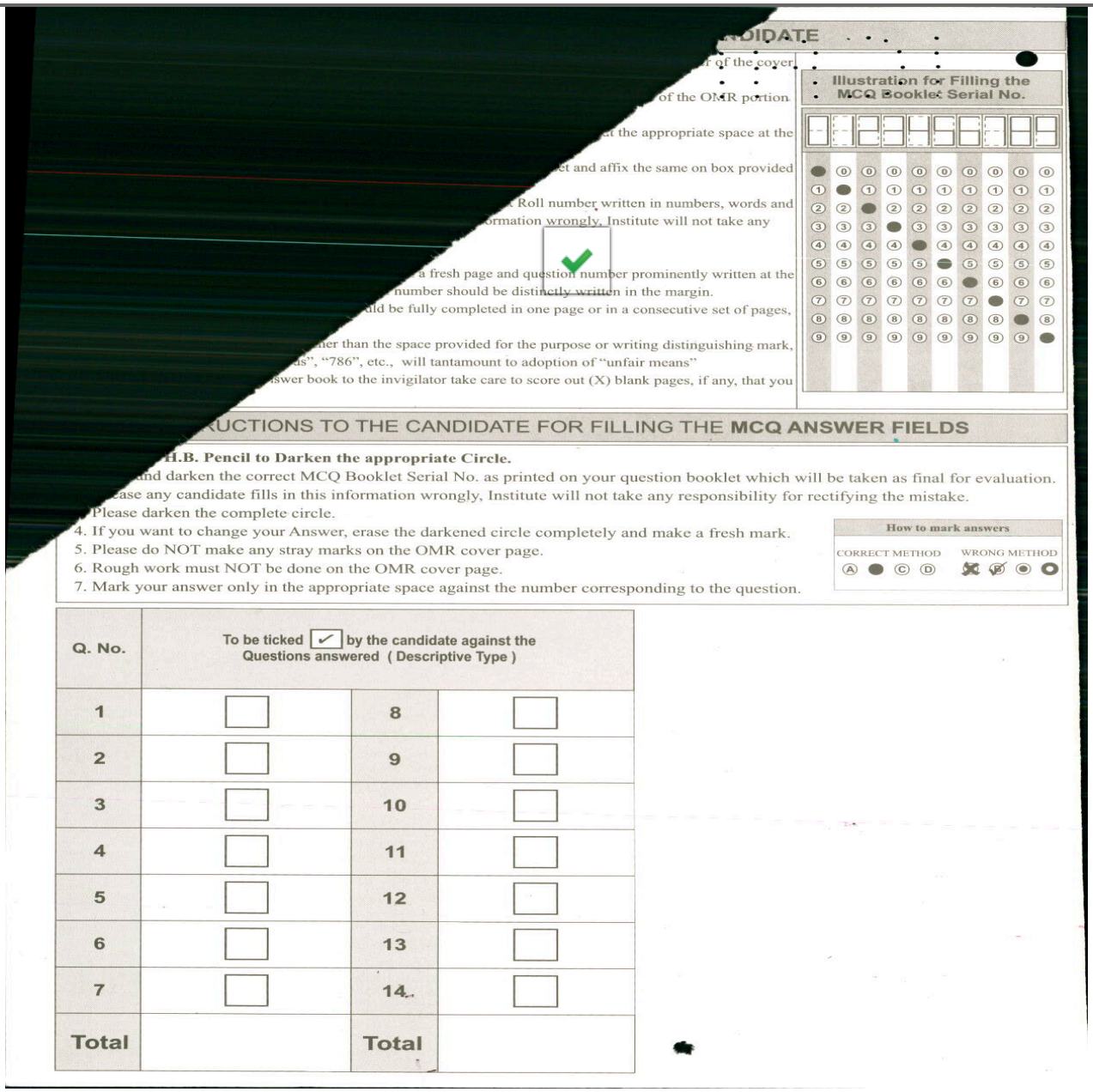
MCQ Answers

1	B	11	B	21	B
2	D	12	B	22	B
3	B	13	A	23	B
4	B	14	B	24	B
5	D	15	D	25	B
6	C	16	B	26	B
7	D	17	B	27	B
8	A	18	B	28	B
9	B	19	B	29	B
10	B	20	B	30	B

The Institute of Chartered Accountants of India

Code: FN2AF177304 **Total Marks:** 70

Subject : 02 Advanced Financial Management **Marks Obtained :** 49



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...uld be fully completed in one page or in a consecutive set of pages,

...ner than the space provided for the purpose or writing distinguishing mark, ...ds", "786", etc., will tantamount to adoption of "unfair means"

...swer book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.

...RUCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

...**H.B. Pencil to Darken the appropriate Circle.**

...nd darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation. ...ease any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

3. Please darken the complete circle.
4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1		8	
2		9	
3		10	
4		11	
5		12	
6		13	
7		14	
Total		Total	

03

Q5(a)

i) Ranked Table using Treynor's Ratio

Security	Treynor's Ratio = $\frac{R_x - IR_F}{\beta}$	Rank
A	$\frac{5-7}{0.5} = \frac{-2}{0.5} = -4$	V
B	$\frac{25-7}{2.5} = \frac{18}{2.5} = 7.2$	III
C	$\frac{15-7}{1} = \frac{8}{1} = 8$	I
D	$\frac{10-7}{1.5} = \frac{3}{1.5} = 2$	IV
E	$\frac{20-7}{1.8} = \frac{13}{1.8} = 7.22$	II

5aStep1 2

Ranks are as follows:-
C, E, B, D, A

ii) Cut off table

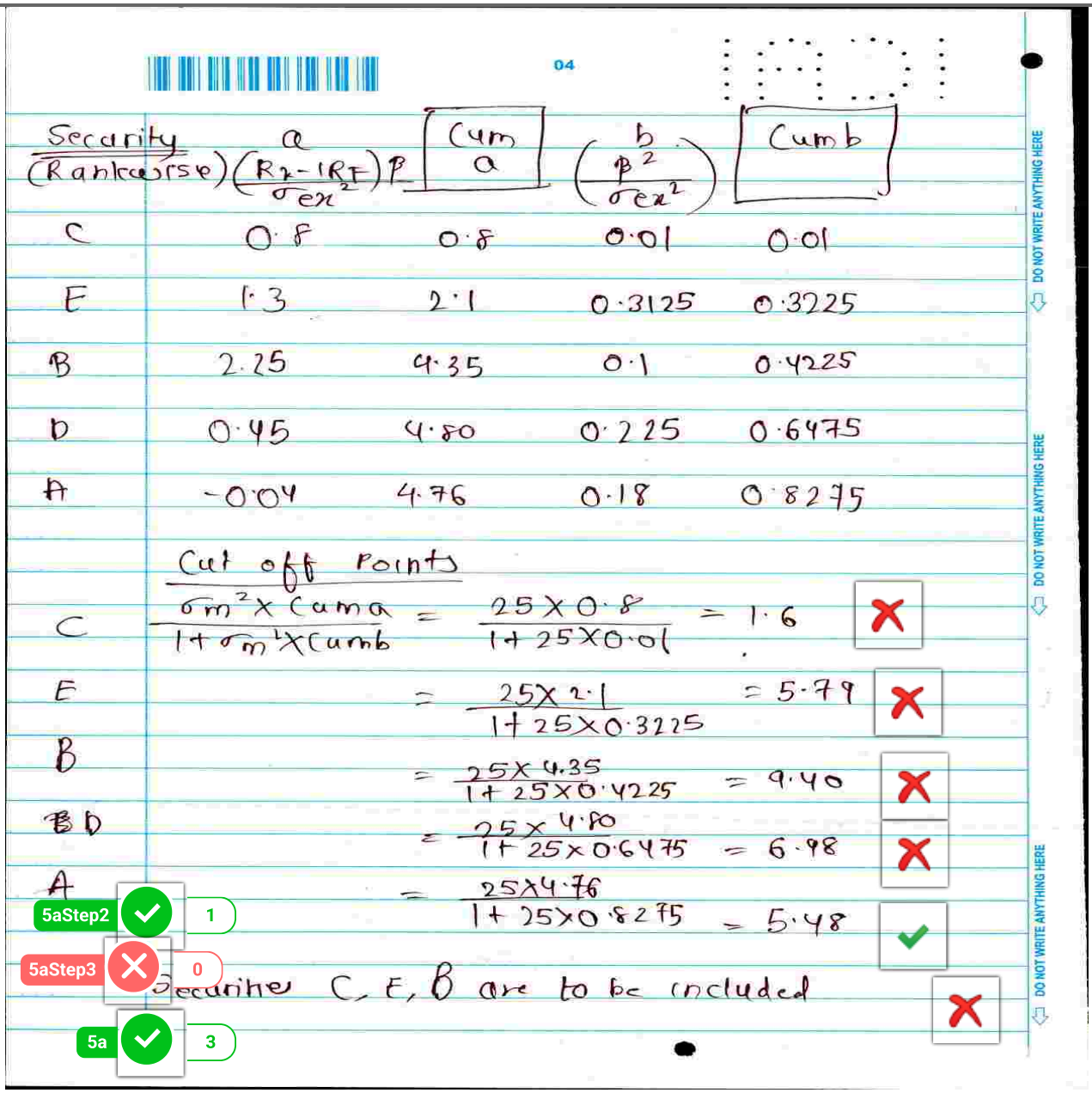
Formula $C = \frac{\sigma_m^2 \times \text{Cum } a}{1 + \sigma_m^2 \times \text{Cum } b}$

where, $a = \frac{(R_x - IR_F)\beta}{\sigma_{ex}^2}$ $b = \frac{\beta^2}{\sigma_{ex}^2}$

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04

Security (Rank wise)	$\frac{(R_i - R_f)\beta}{\sigma_{ei}^2}$	Cum a	$\frac{\beta^2}{\sigma_{ei}^2}$	Cum b
C	0.8	0.8	0.01	0.01
E	1.3	2.1	0.3125	0.3225
B	2.25	4.35	0.1	0.4225
D	0.45	4.80	0.225	0.6475
A	-0.04	4.76	0.18	0.8275

Cut off Points

$\frac{\sigma_m^2 \times Cum\,a}{1+\sigma_m^2 \times Cum\,b}$

C: $= \frac{25 \times 0.8}{1+25 \times 0.01} = 1.6$

E: $= \frac{25 \times 2.1}{1+25 \times 0.3225} = 5.79$

B: $= \frac{25 \times 4.35}{1+25 \times 0.4225} = 9.40$

D: $= \frac{25 \times 4.80}{1+25 \times 0.6475} = 6.98$

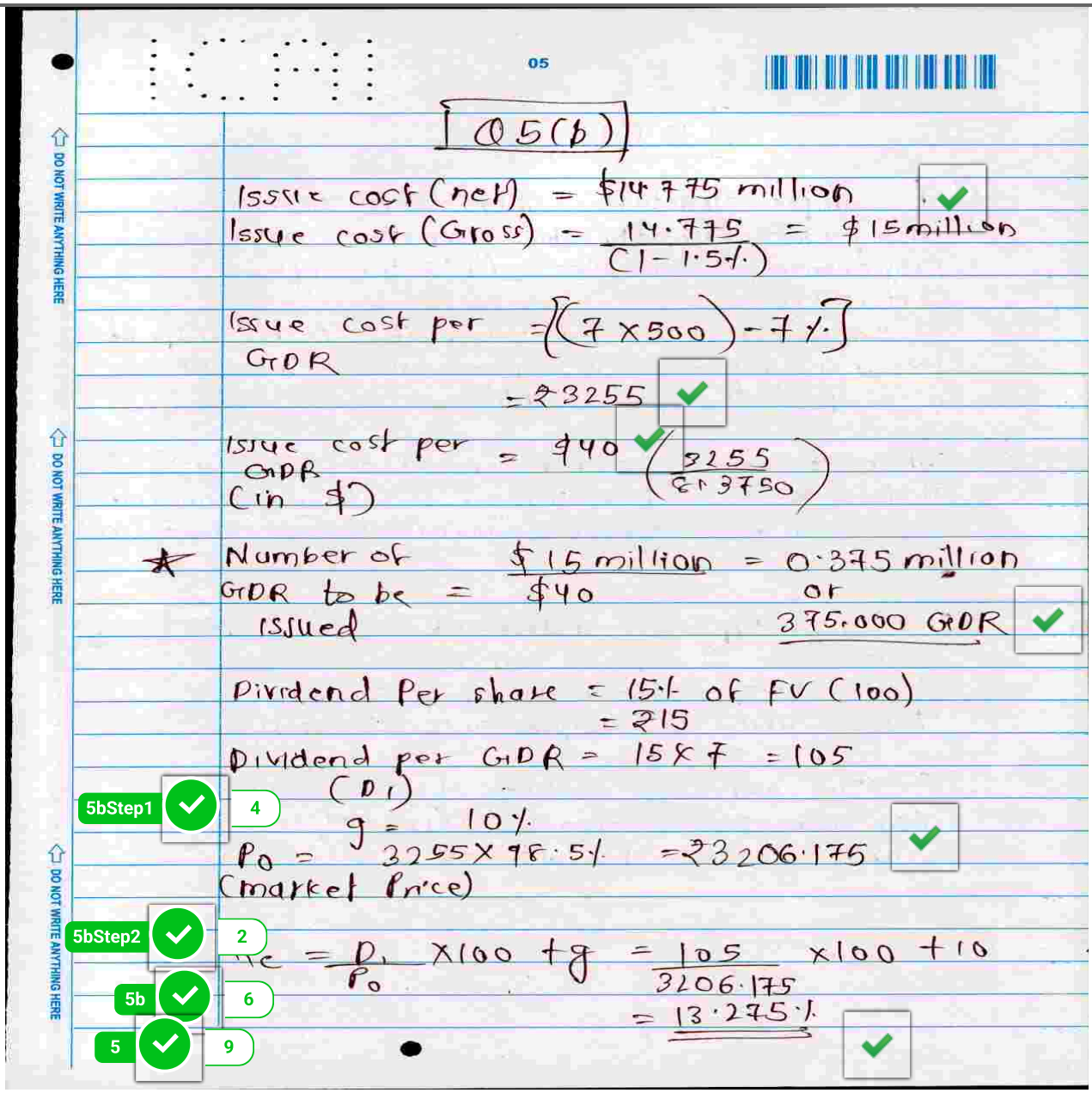
A: $= \frac{25 \times 4.76}{1+25 \times 0.8275} = 5.48$

Securities C, E, B are to be included

5aStep2 1

5aStep3 0

5a 3



05

Q5(b)

Issue cost (net) = $14.775 million

Issue cost (Gross) = $\frac{14.775}{(1-1.5\%)}$ = $15 million

Issue cost per GDR = [(7 × 500) − 7%]

= ₹3255

Issue cost per GDR (in $) = $40 ($\frac{3255}{₹1.3750}$)

Number of GDR to be issued = $\frac{\$15 \text{ million}}{\$40}$ = 0.375 million or 375,000 GDR

Dividend Per share = 15% of FV (100)

= ₹15

Dividend per GDR (D1) = 15 × 7 = 105

g = 10%

P0 = 3255 × 98.5% = ₹3206.175 (Market Price)

$K_e = \frac{D_1}{P_0} \times 100 + g = \frac{105}{3206.175} \times 100 + 10$

= 13.275%

5bStep1 4

5bStep2 2

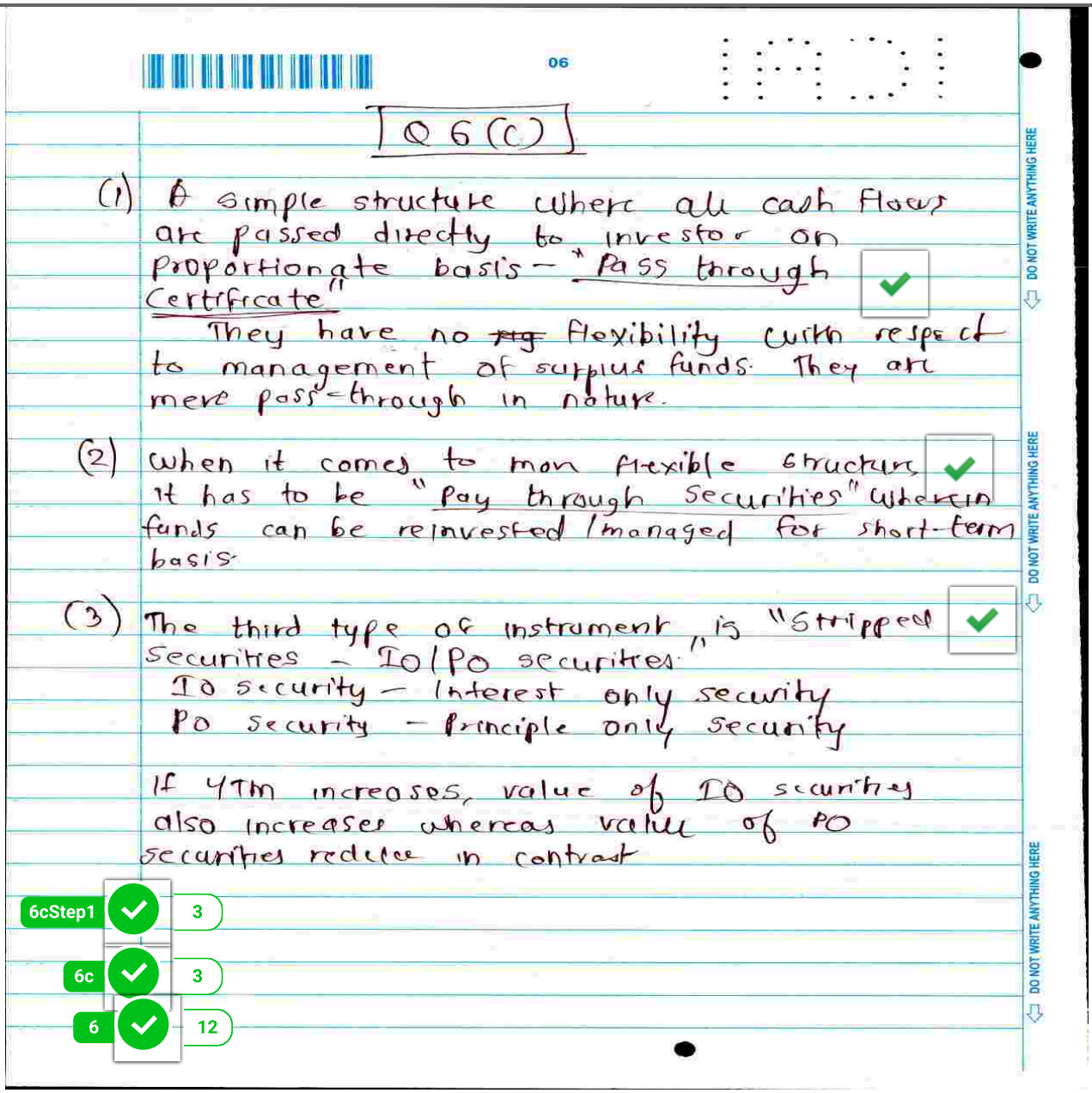
5b 6

5 9

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06

Q 6 (c)

(1) A simple structure where all cash flows are passed directly to investor on proportionate basis – "Pass through Certificate"

They have no ~~rig~~ flexibility with respect to management of surplus funds. They are mere pass-through in nature.

(2) When it comes to more flexible structure, it has to be "Pay through securities" wherein funds can be reinvested / managed for short-term basis.

(3) The third type of instrument is "Stripped securities – IO/PO securities"

IO security – Interest only security

PO security – Principle only security

If YTM increases, value of IO securities also increases whereas value of PO securities reduce in contrast

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6cStep1 3

6c 3

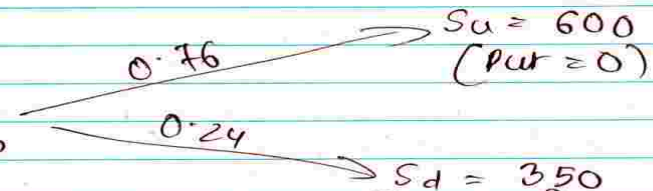
6 12

07

Q 6(b)

Value of abondonment option = Value of put option

Let's understand through binomial tree



$u = \frac{Su}{S0} = \frac{600}{500} = 1.2$ $d = \frac{Sd}{Su} = \frac{350}{500} = 0.7$

$P(u) = \frac{(1+r)^n - d}{u-d} = \frac{1.08 - 0.7}{1.2 - 0.7} = 0.76$

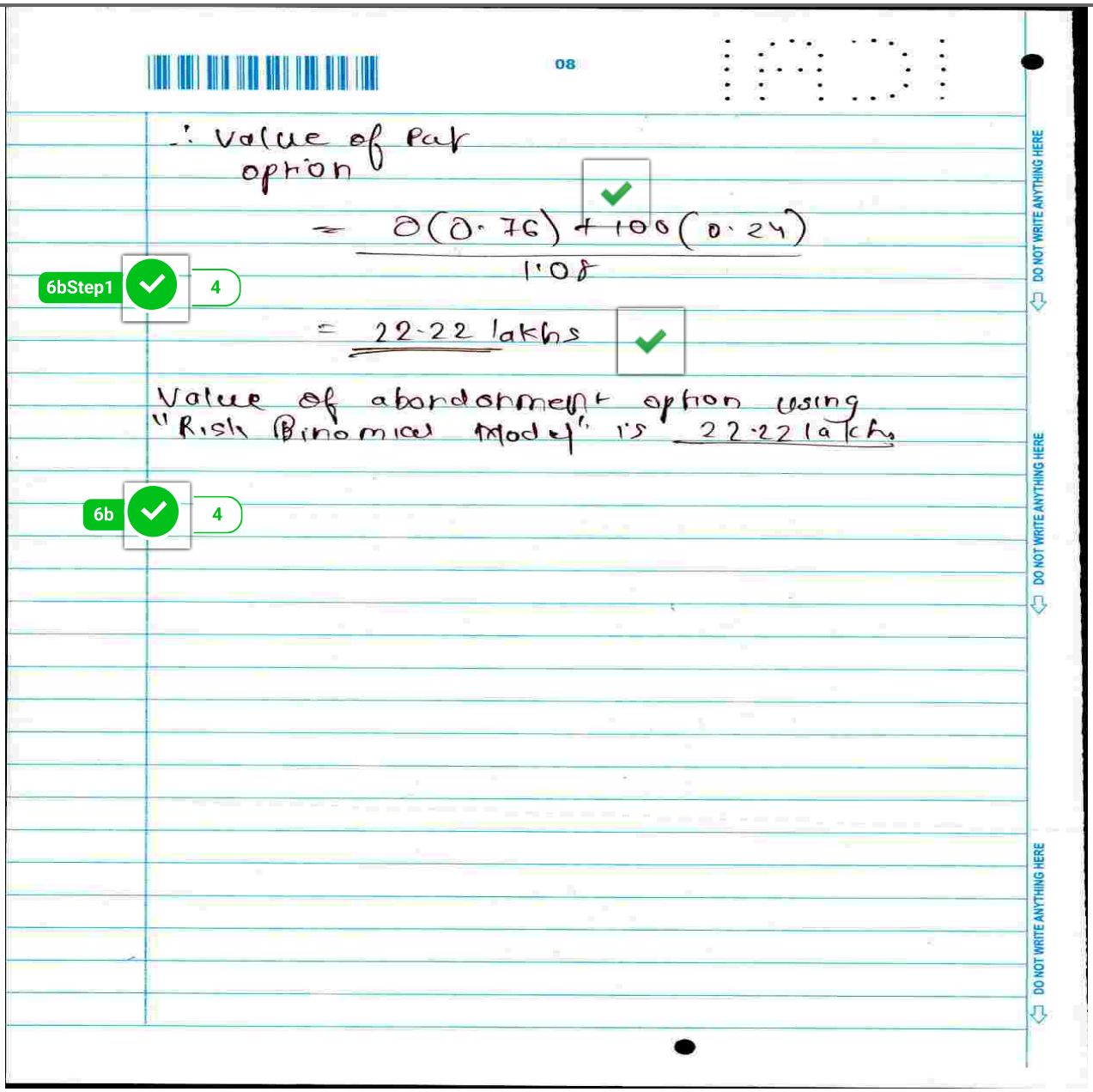
$P(d) = 1 - P(u) = 0.24$

Value of Put option

K = 450

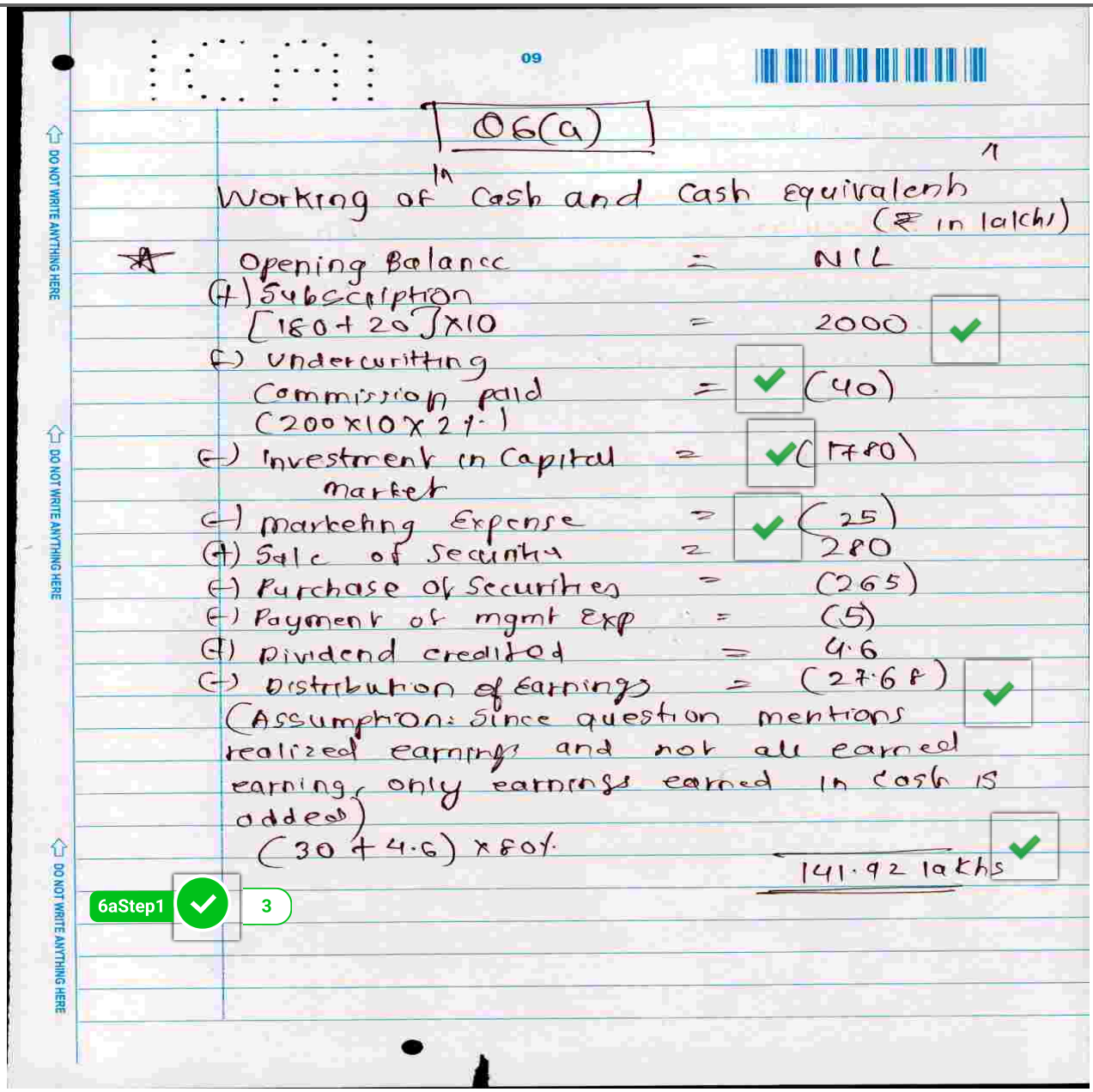
Su → value of Put option = 0 (S1 > K)

Sd = value of Put option = K − S1
= 450 − 350 = 100



6bStep1 4

6b 4



09

Q6(a)

Working of Cash and Cash equivalents (₹ in lakhs)

Opening Balance	=	NIL
(+) Subscription [180 + 20] × 10	=	2000
(-) Underwritting Commission paid (200 × 10 × 2%)	=	(40)
(-) Investment in Capital Market	=	(1780)
(-) Marketing Expense	=	(25)
(+) Sale of Security	=	280
(-) Purchase of Securities	=	(265)
(-) Payment of mgmt Exp	=	(5)
(+) Dividend credited	=	4.6
(-) Distribution of Earnings (Assumption: Since question mentions realized earnings and not all earned earning, only earnings earned in cash is added) (30 + 4.6) × 80%	=	(27.68)
		141.92 lakhs

6aStep1 3

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10

Calculation of Closing NAV

Amount (in lacs)

Particulars	Amount
Cash Balance (Refer WN before)	141.92
Dividend Receivable	0.4
Market value of Portfolio	2150.50
(-) Outstanding Expense	(0.5)
	2292.32
÷ No. of units subscribed	200
(rounded off to two decimal)	₹ 11.46 /unit

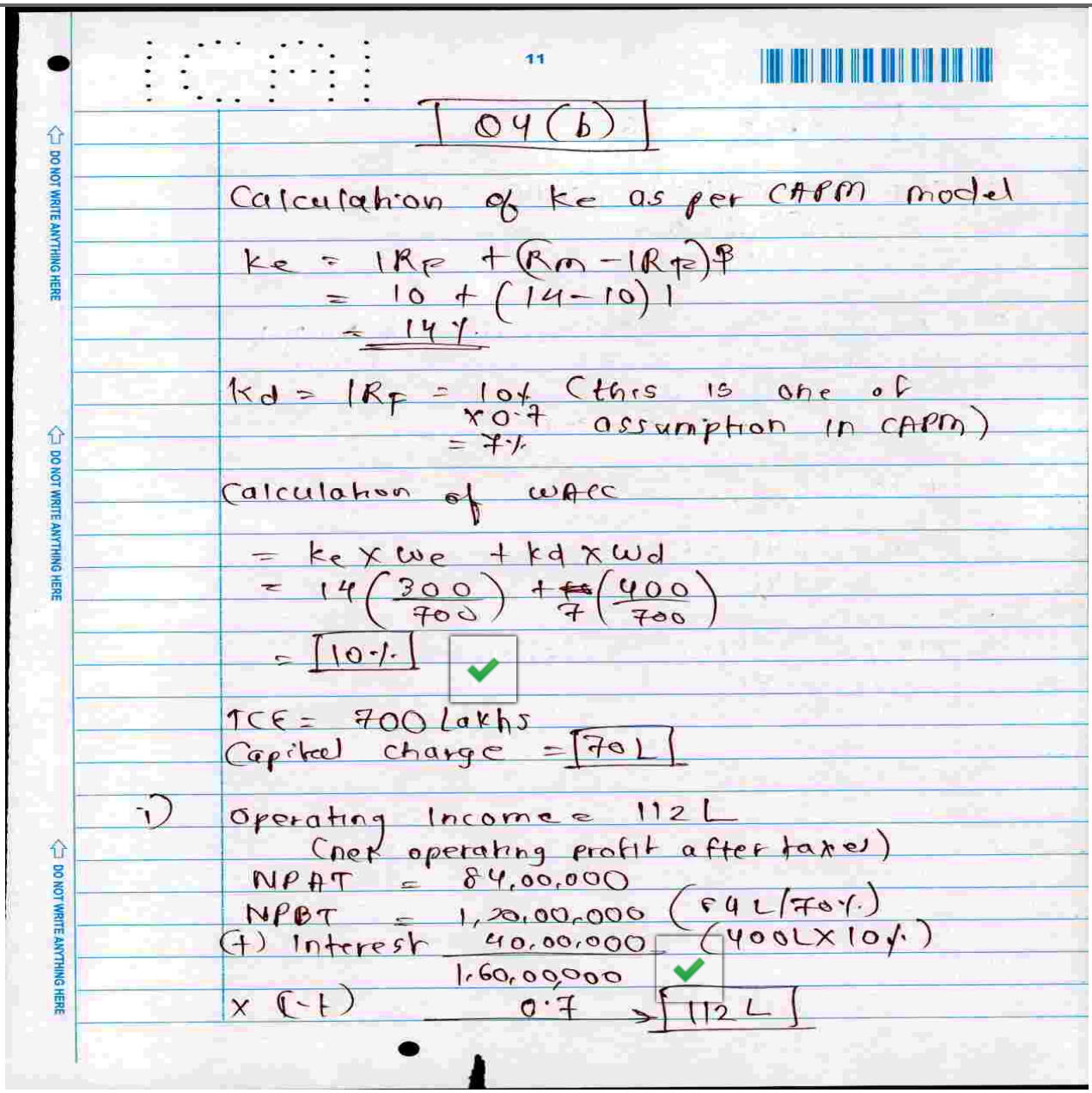
6aStep2 2

6a 5

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11

Q4(b)

Calculation of ke as per CAPM model

ke = $R_F + (R_m - R_F)\beta$
= 10 + (14 − 10) 1
= 14%

kd = R_F = 10% (this is one of assumption in CAPM)
× 0.7
= 7%

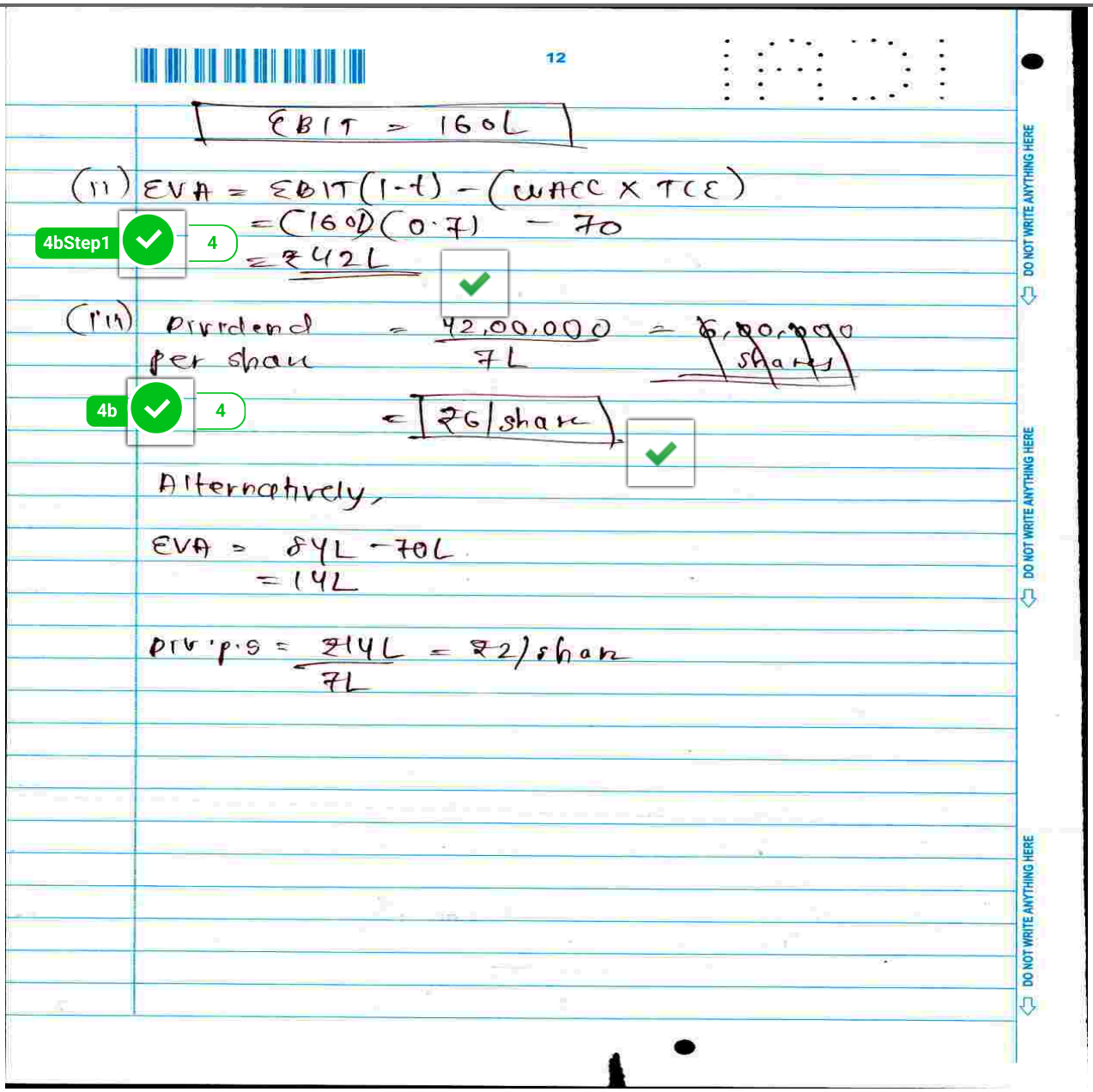
Calculation of WACC

= ke × we + kd × wd
= 14 (300/700) + 7 (400/700)
= [10%] ✔

TCE = 700 lakhs
Capital charge = [70 L]

i) Operating Income = 112 L
(Net operating profit after taxes)

NPAT = 84,00,000
NPBT = 1,20,00,000 (84 L / 70%)
(+) Interest 40,00,000 (400 L × 10%)
1,60,00,000 ✔
× (1−t) 0.7 → [112 L]


12
EBIT = 160L
(ii) EVA = EBIT(1-t) - (WACC x TCE)
= (160)(0.7) - 70
= ₹42L
4bStep1
4
(iii) Dividend per share = 42,00,000 / 7L = 6,00,000 shares
= ₹6/share
4b
4
Alternatively,
EVA = 84L - 70L
= 14L
Div. p.s = ₹14L / 7L = ₹2/share
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Code: FN2AF177304 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 49

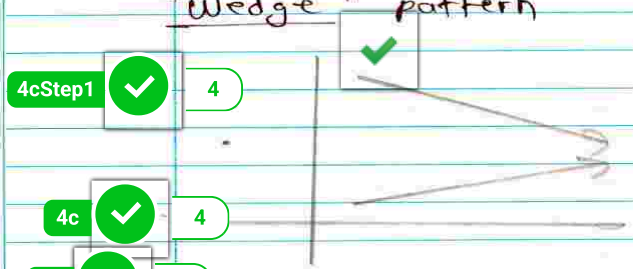
Q4 (c)

Scenario 1 : The stock of Dynamic IT Ltd is that it is showing pattern of a channel wherein price moves upward in drafting consistent upward movement thus, forming a channel

Scenario 2 - "Pioneer Ltd" shows three peaks and price falls significantly downward - "The pattern indicated is Head and Shoulder"

Scenario 4 - "Global Steel INC" shows range with higher highs and higher lows and direction is still unclear. If direction is unclear the same is said to be "Triangular / Coil Formation"

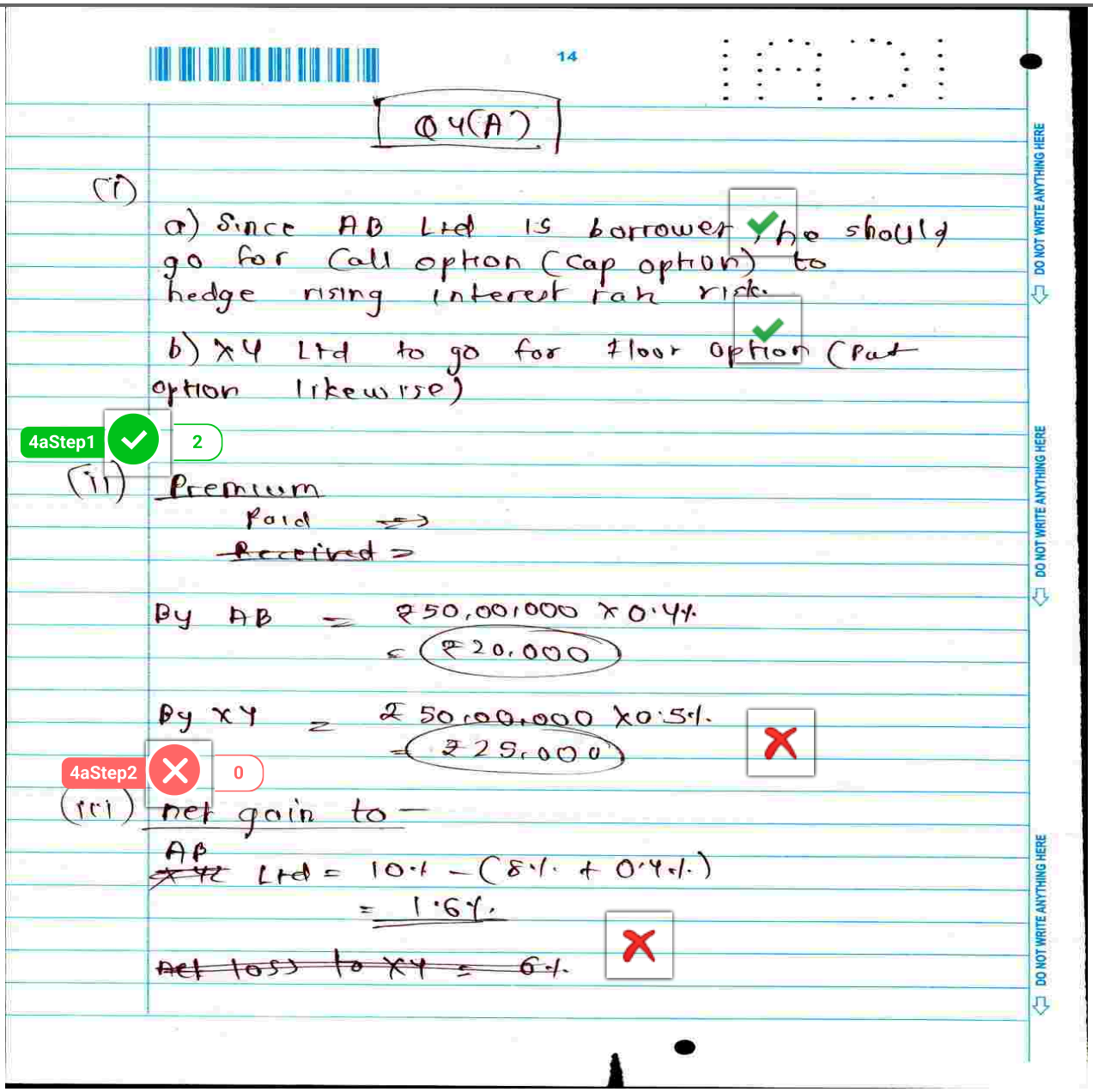
Scenario 5 - "Sunrise FMCG Ltd." exhibit "Wedge" pattern



4cStep1 4

4c 4

4 10



14

Q4(A)

(i)

a) Since AB Ltd is borrower he should go for Call option (Cap option) to hedge rising interest rate risk.

b) XY Ltd to go for Floor option (Put option likewise)

4aStep1 2

(ii) Premium

Paid ⇒

~~Received~~ ⇒

By AB = ₹50,00,000 × 0.4%

= ₹20,000

By XY = ₹50,00,000 × 0.5%

= ₹25,000

4aStep2 0

(iii) net gain to —

AB Ltd = 10.1 − (8% + 0.4%)

= 1.6%

~~Net loss to XY = 6%~~

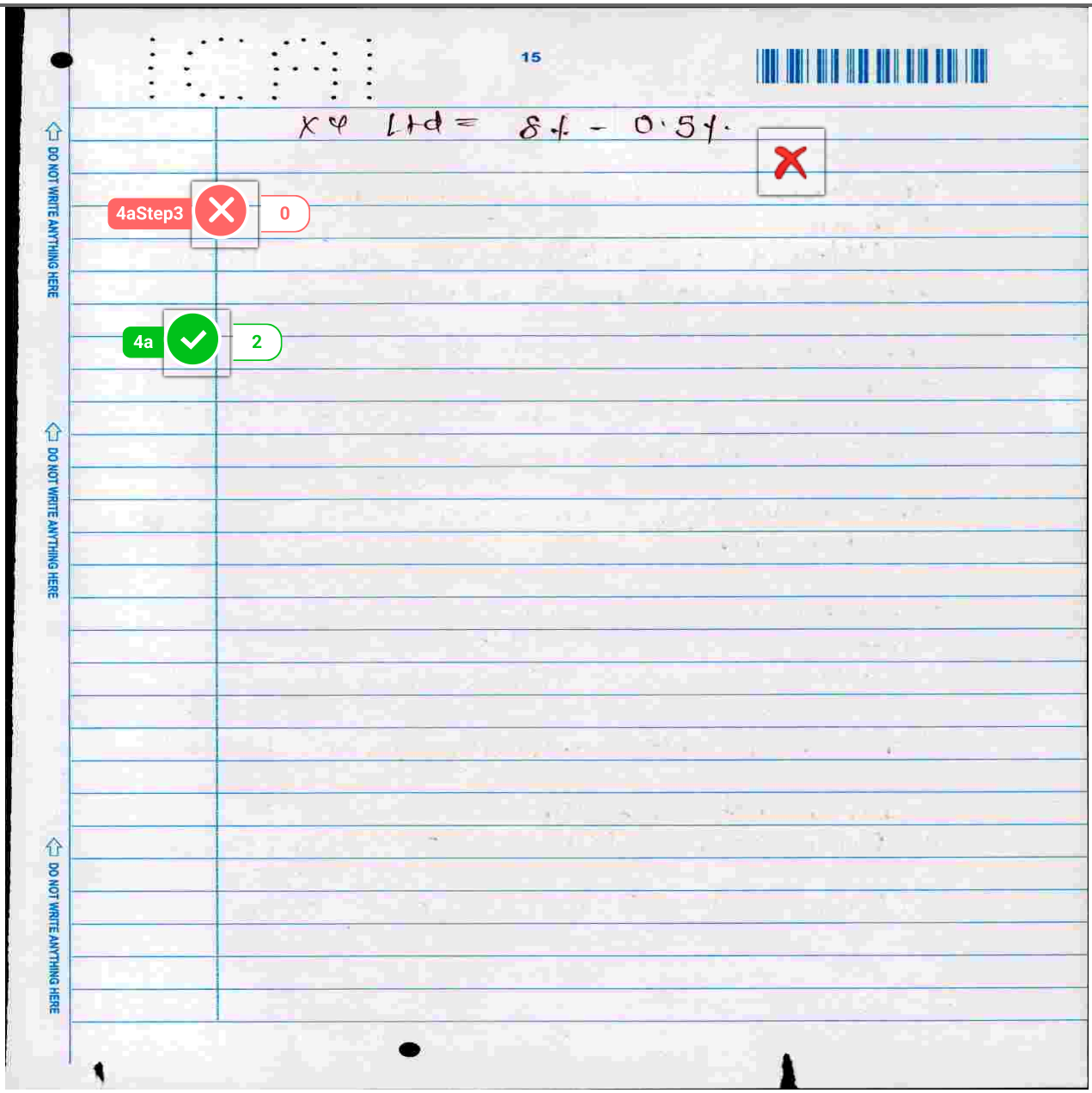
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16

[Q 1(a)]

Mrs. Investor's Period of Holding is from 1/4/2019 to 31/3/25 as on 31/3/25
Period of Holding = 6 years

Investment = ₹ 25,00,000/-

(+) Income earned on investment = 25,00,000 x 16.8% x 6 years
= 25,20,000/-

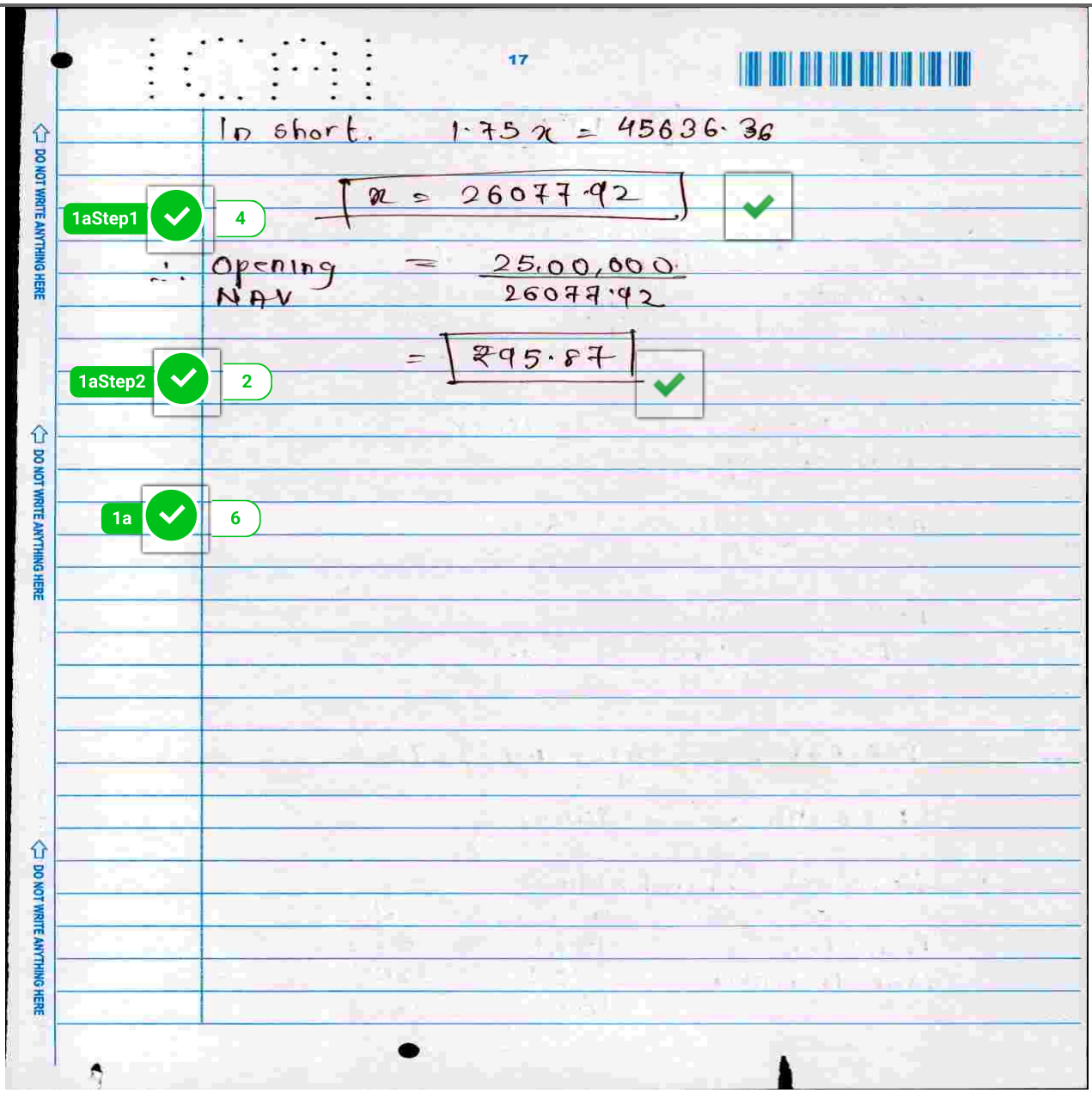
Total Value of all her units = 50,20,000 ✔

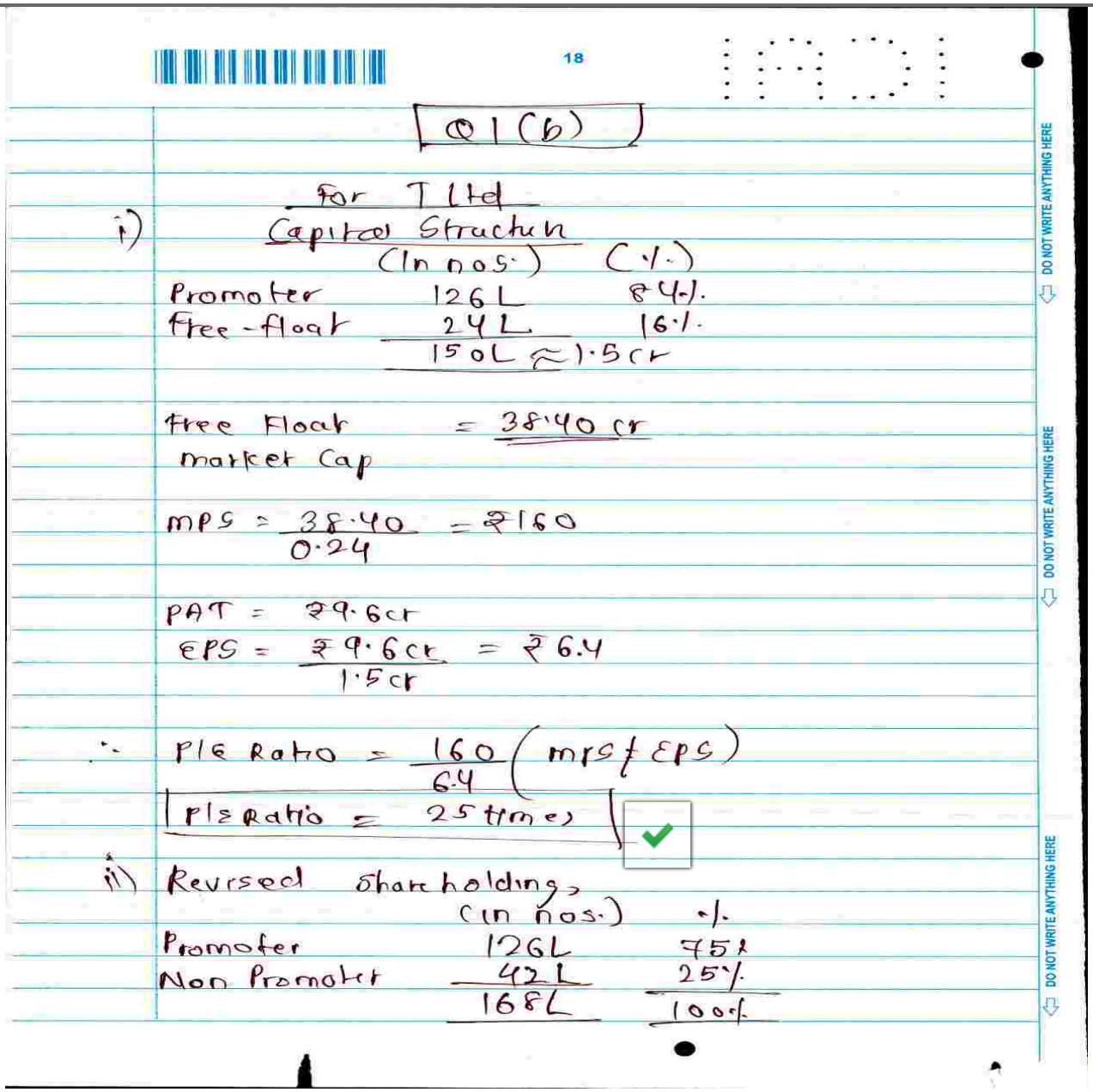
total no. of units as on 31/3/25 = 50,20,000 / 110
= 45636.36 units ✔

Let no. of units initially given be 'x'.

No. of units initially = x
(+) Bonus issue (1:4) = 0.25x
1.25x
(+) Bonus issue (2:5) = 0.5x
1.75x

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17
In short. 1·75x = 45636·36
x = 26077·92
1aStep1
4
∴ Opening NAV = 25,00,000 / 26077·92
= ₹95·87
1aStep2
2
1a
6
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18

Q1(b)

For T Ltd

i) Capital Structure

	(In nos.)	(%)
Promoter	126 L	84%
Free-float	24 L	16%
	150 L ≈ 1.5 cr	

Free Float = 38.40 cr

Market Cap

MPS = 38.40 / 0.24 = ₹160

PAT = ₹9.6 cr

EPS = ₹9.6 cr / 1.5 cr = ₹6.4

∴ P/E Ratio = 160 (mps / EPS) / 6.4

P/E Ratio = 25 times ✔

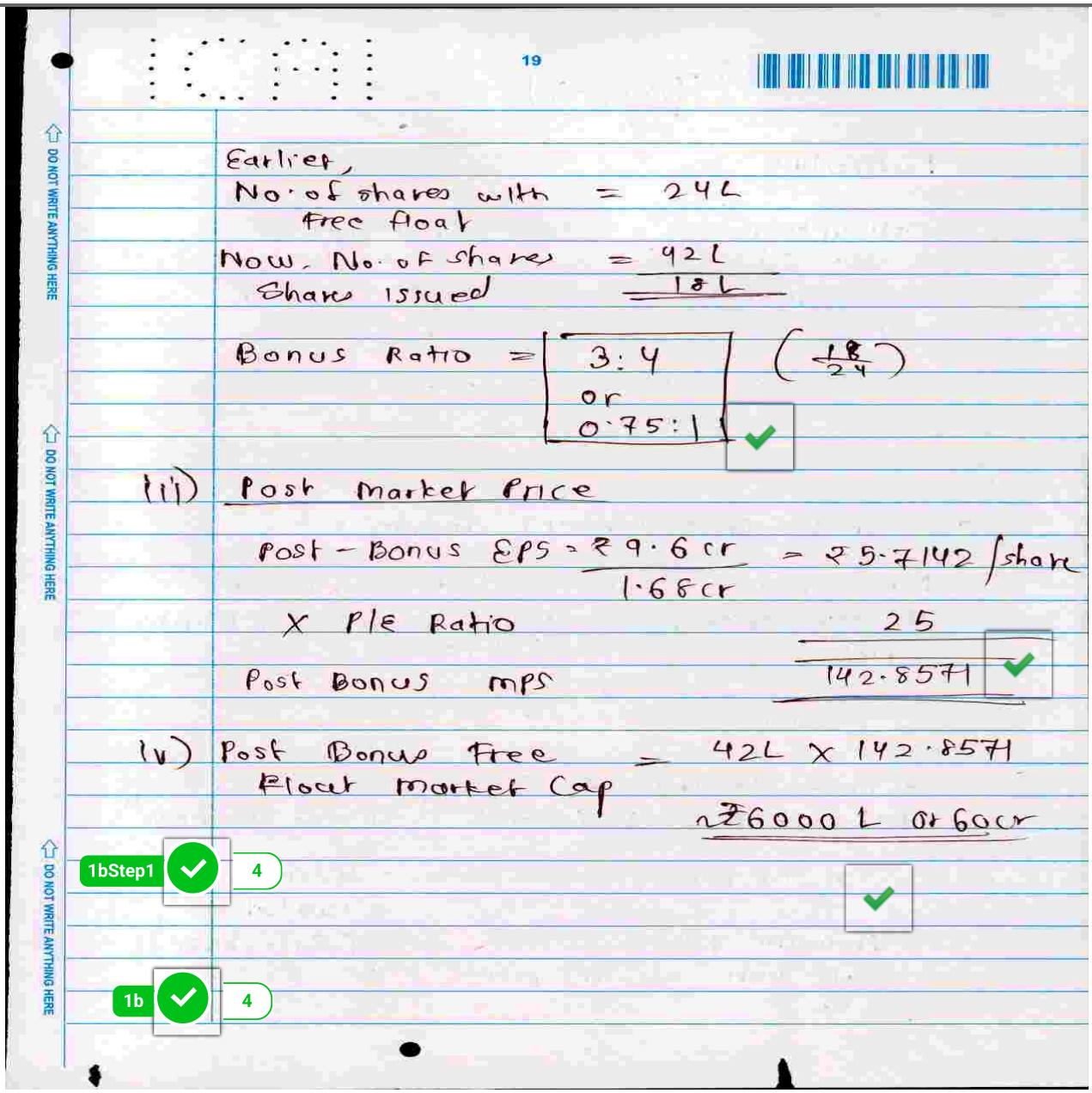
ii) Revised Shareholding,

	(In nos.)	%
Promoter	126 L	75%
Non Promoter	42 L	25%
	168 L	100%

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19

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Earlier,
No. of shares with free float = 24L
Now, No. of shares = 42L
Share issued = 18L

Bonus Ratio = 3:4 or 0.75:1 $\left(\frac{18}{24}\right)$

(ii) Post Market Price

Post-Bonus EPS = ₹9.6 cr / 1.68 cr = ₹5.7142/share

X P/E Ratio 25

Post Bonus MPS 142.8571

(iv) Post Bonus Free Float Market Cap = 42L X 142.8571

≈ ₹6000 L or 60 cr

1bStep1 4

1b 4

20

[Q1(c)]

Particulars

Call option –
K = 620
t = 3 months
P = 42

Put option
K = 480
t = 3 months
P = 8

Lot size = 150 shares

(i)

- If share price remains unchanged

None of the options will be exercisable as both of them will be "out of money"

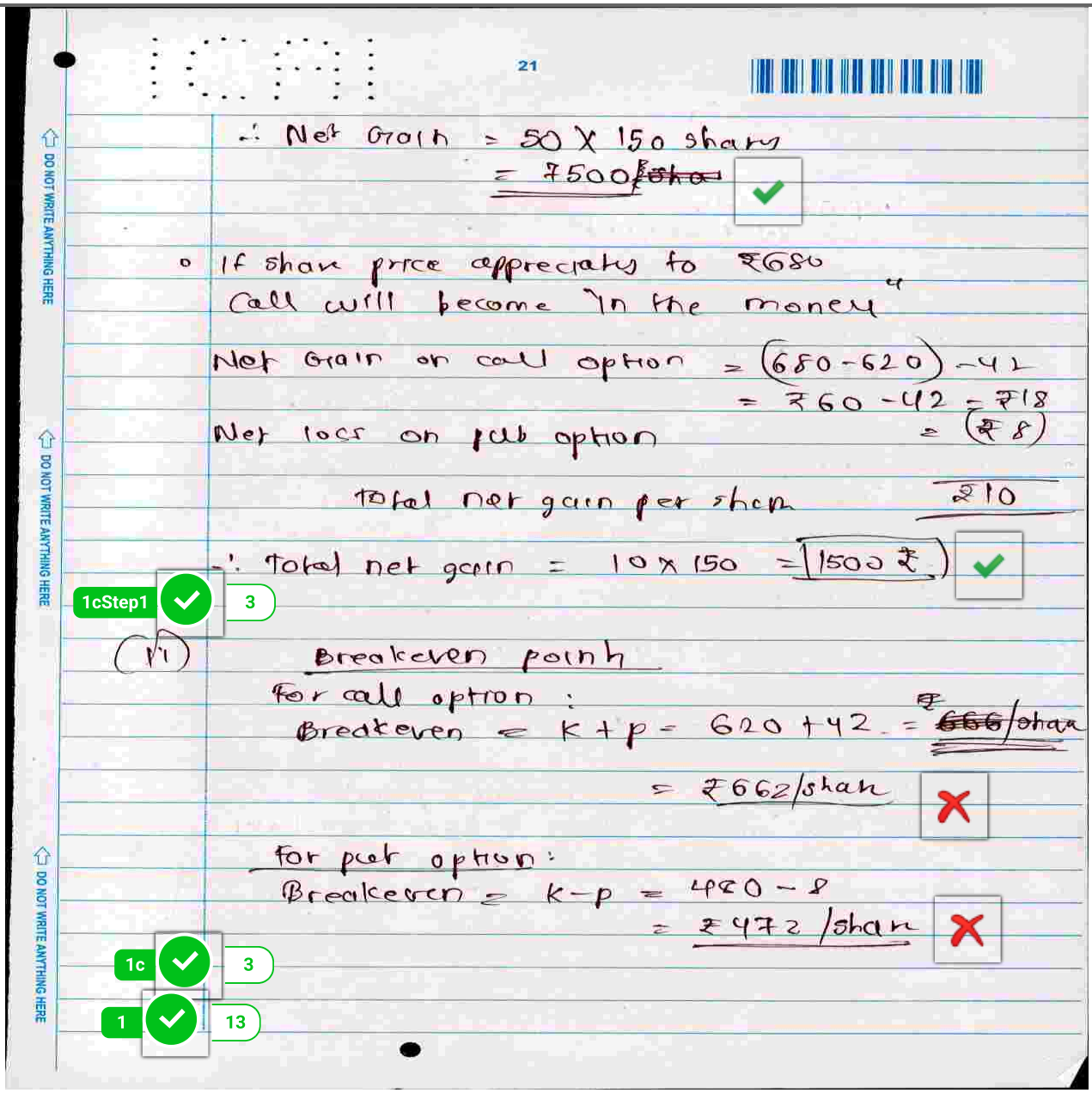
Net Loss = (42 + 8) × 150 shares
= 50 × 150 shares
Loss = 7500/-

- If share declines to ₹350
Put option will become "in the money"

Gross Gain on put option = $k - S_1$ = 480 - 350
= 100/share
(50/-share)

↳ Premium paid
(on both call and put)

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21

∴ Net Gain = 50 X 150 shares
= ₹7500 ~~/share~~

If share price appreciates to ₹680
Call will become 'In the money'

Net Gain on call option = (680 - 620) - 42
= ₹60 - 42 = ₹18

Net loss on put option = (₹8)

Total net gain per share ₹10

∴ Total net gain = 10 X 150 = ₹1500

1cStep1 3

(P1)

Breakeven point

For call option :
Breakeven = K + P = 620 + 42 = ~~₹666/share~~
= ₹662/share

For put option :
Breakeven = K - P = 480 - 8
= ₹472 /share

1c 3

1 13

22

Q2(a)

Import Value = $80,00,000
(-) I.T. Discount 1%.
$ 79,20,000

Amount payable today = 79,20,000 x 66.98
= 5304.816 Lakhs

(i) Amount payable = 5304.816 L
(-) Cash Utilization (25 L)
Loan to be availed 5279.816 L

Borrow for 90 days @ 9% p.a

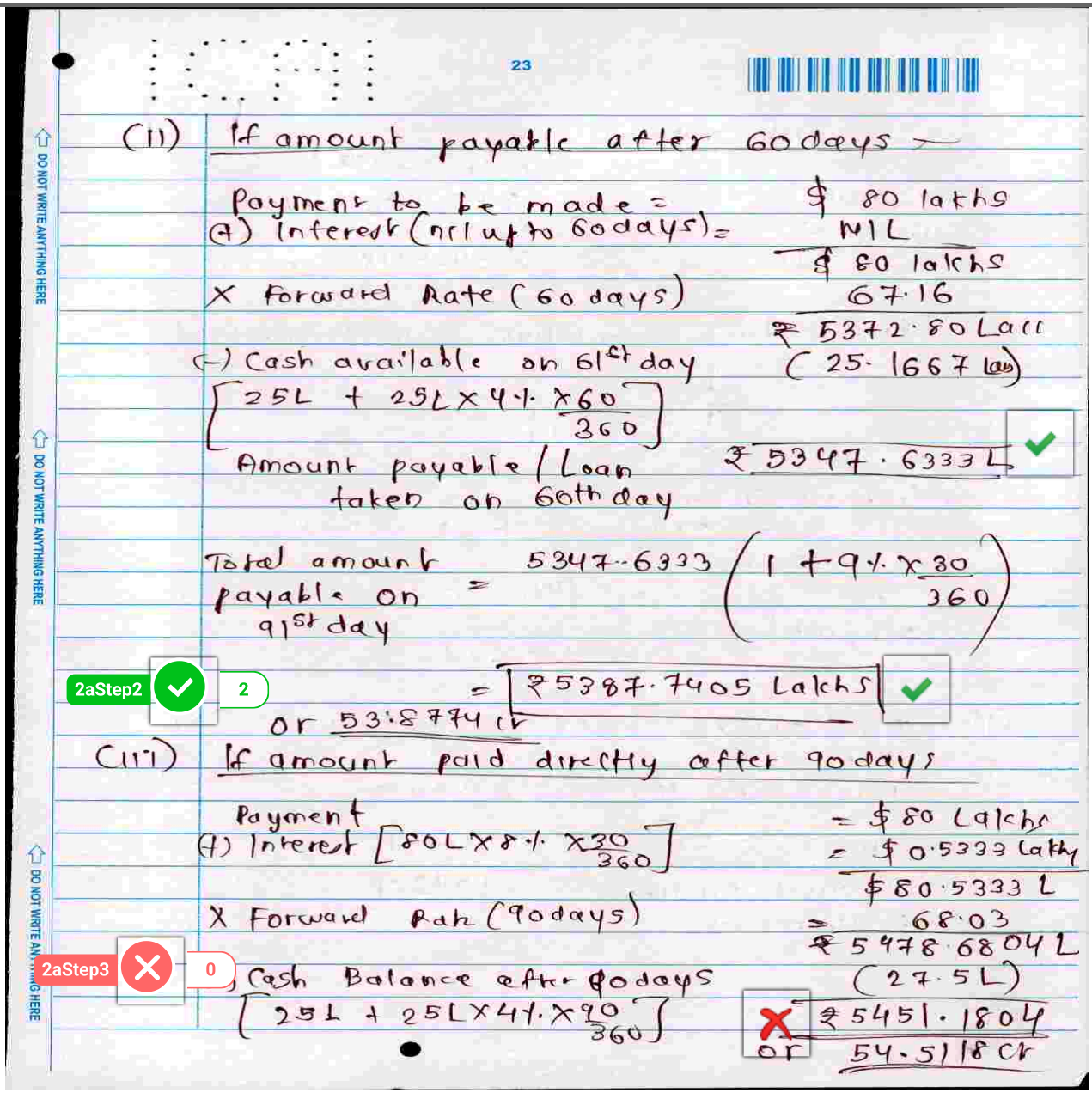
$= 5279.816\left[1+9\% \times \frac{90}{360}\right]$

= ₹5398.6119 Lakhs

Under option 1, amount payable for X42 Ltd would be ₹ 5898.6119 Lakhs
Or
₹ 53.99 crores

2aStep1 2

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23

(ii) If amount payable after 60 days —

Payment to be made = $ 80 lakhs

(+) Interest (nil upto 60 days) = NIL

$ 80 lakhs

× Forward Rate (60 days) 67.16

₹ 5372.80 Lakh

(−) Cash available on 61st day (25.1667 Lac)

$\left[25L + 25L \times 4\% \times \frac{60}{360}\right]$

Amount payable / Loan taken on 60th day ₹ 5347.6333 L

Total amount payable on 91st day = $5347.6333 \left(1 + 9\% \times \frac{30}{360}\right)$

= ₹ 5387.7405 Lakhs

or 53.8774 Cr

2aStep2 2

(iii) If amount paid directly after 90 days

Payment = $ 80 Lakhs

(+) Interest $\left[80L \times 8\% \times \frac{30}{360}\right]$ = $ 0.5333 Lakhs

$ 80.5333 L

× Forward Rak (90 days) = 68.03

₹ 5478.6804 L

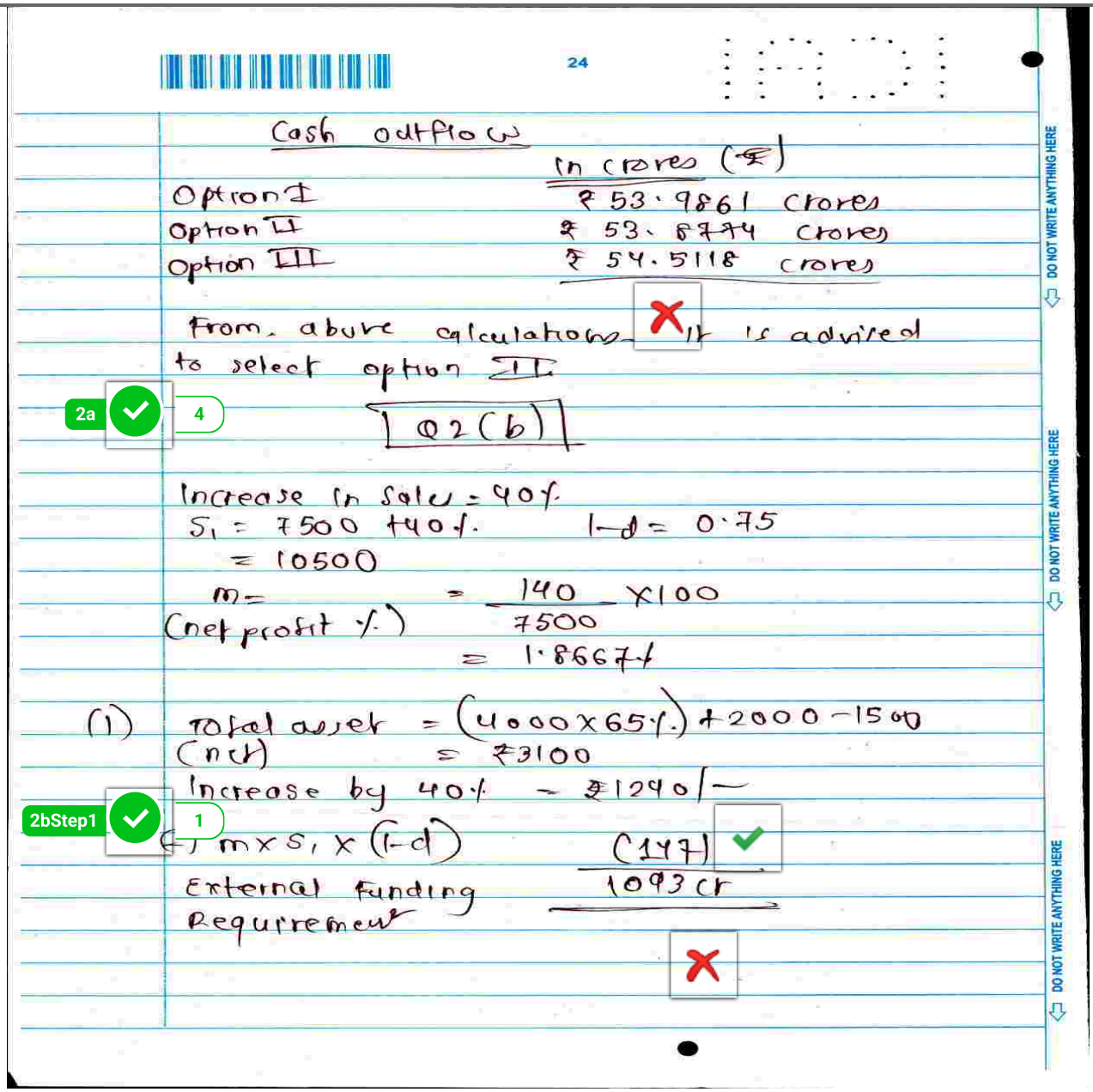
(−) Cash Balance after 90 days (27.5 L)

$\left[25L + 25L \times 4\% \times \frac{90}{360}\right]$ ₹ 5451.1804

or 54.5118 Cr

2aStep3 0

DO NOT WRITE ANYTHING HERE



24

Cash outflow

In crores (₹)

Option I ₹ 53.9861 crores
Option II ₹ 53.8774 crores
Option III ₹ 54.5118 crores

From above calculations it is advised to select option II.

2a 4

Q2(b)

Increase in sale = 40%

S_1 = 7500 + 40% = 10500

1 − d = 0.75

m = (Net profit %) = $\frac{140}{7500} \times 100$ = 1.8667%

(1) Total asset (net) = (4000 × 65%) + 2000 − 1500 = ₹3100

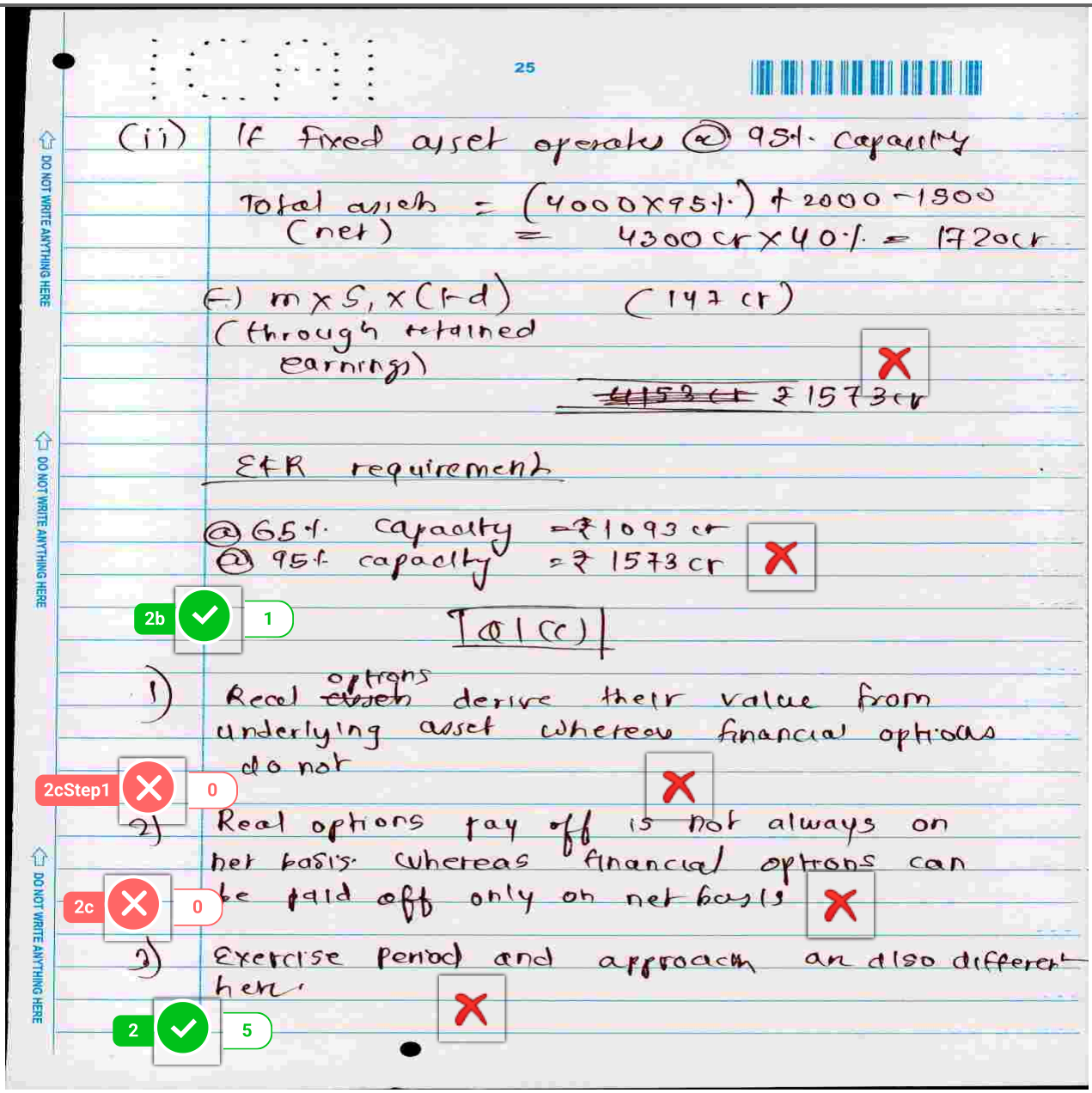
Increase by 40% = ₹1240/−

2bStep1 1

(−) m × S_1 × (1−d) (147)

External funding Requirement 1093 cr

DO NOT WRITE ANYTHING HERE



25

(ii) If fixed asset operates @ 95% capacity

Total assets (net) = (4000 × 95%) + 2000 − 1900
= 4300 cr × 40% = 1720 cr

(−) m × S₁ × (1+d) (147 cr)
(through retained earnings)

~~4153 cr~~ ₹ 1573 cr

EFR requirement

@ 65% capacity = ₹ 1093 cr
@ 95% capacity = ₹ 1573 cr

2b 1

[Q1(c)]

1) Real options derive their value from underlying asset whereas financial options do not

2cStep1 0

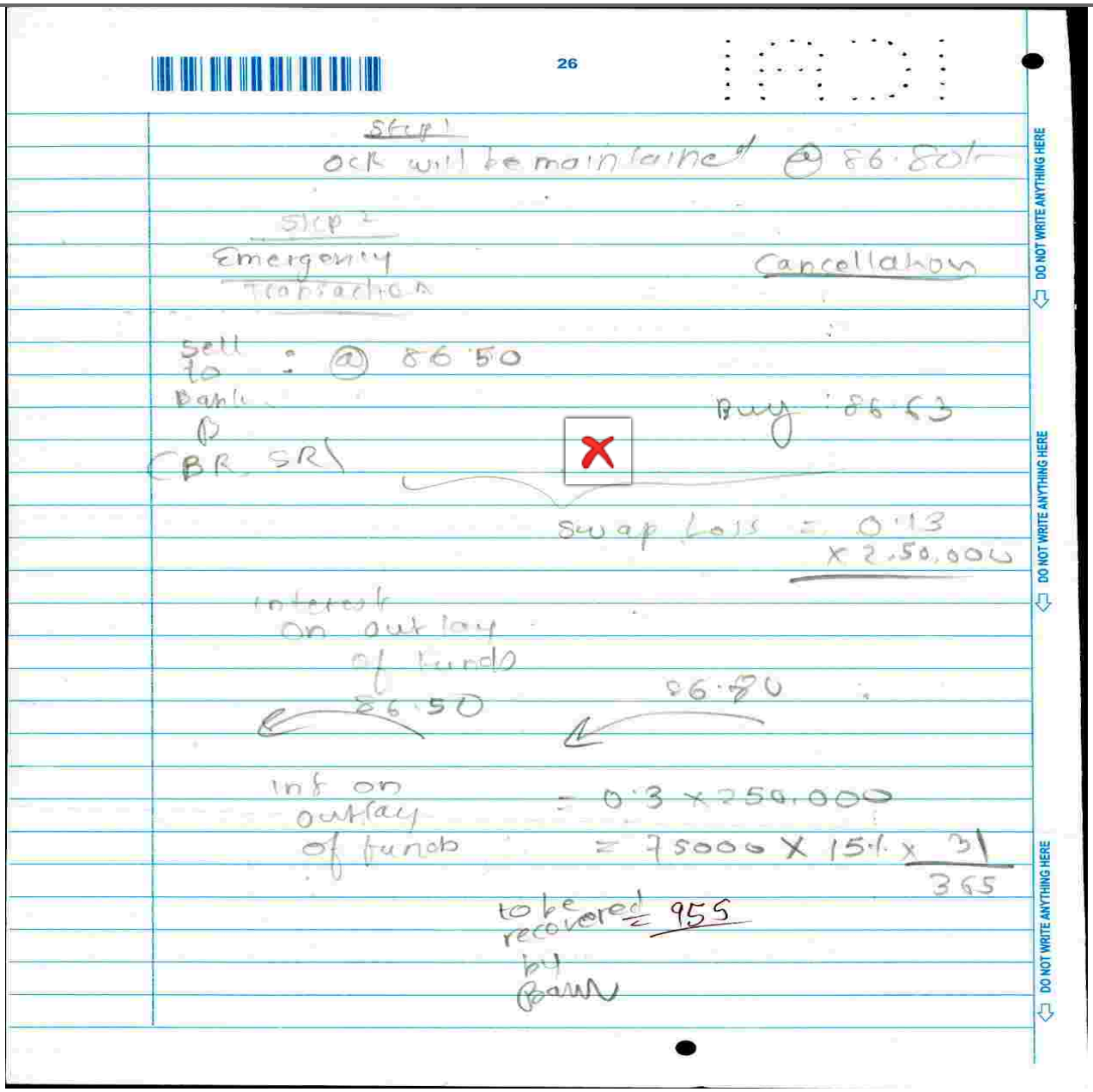
2) Real options pay off is not always on net basis whereas financial options can be paid off only on net basis

2c 0

3) Exercise period and approach are also different here.

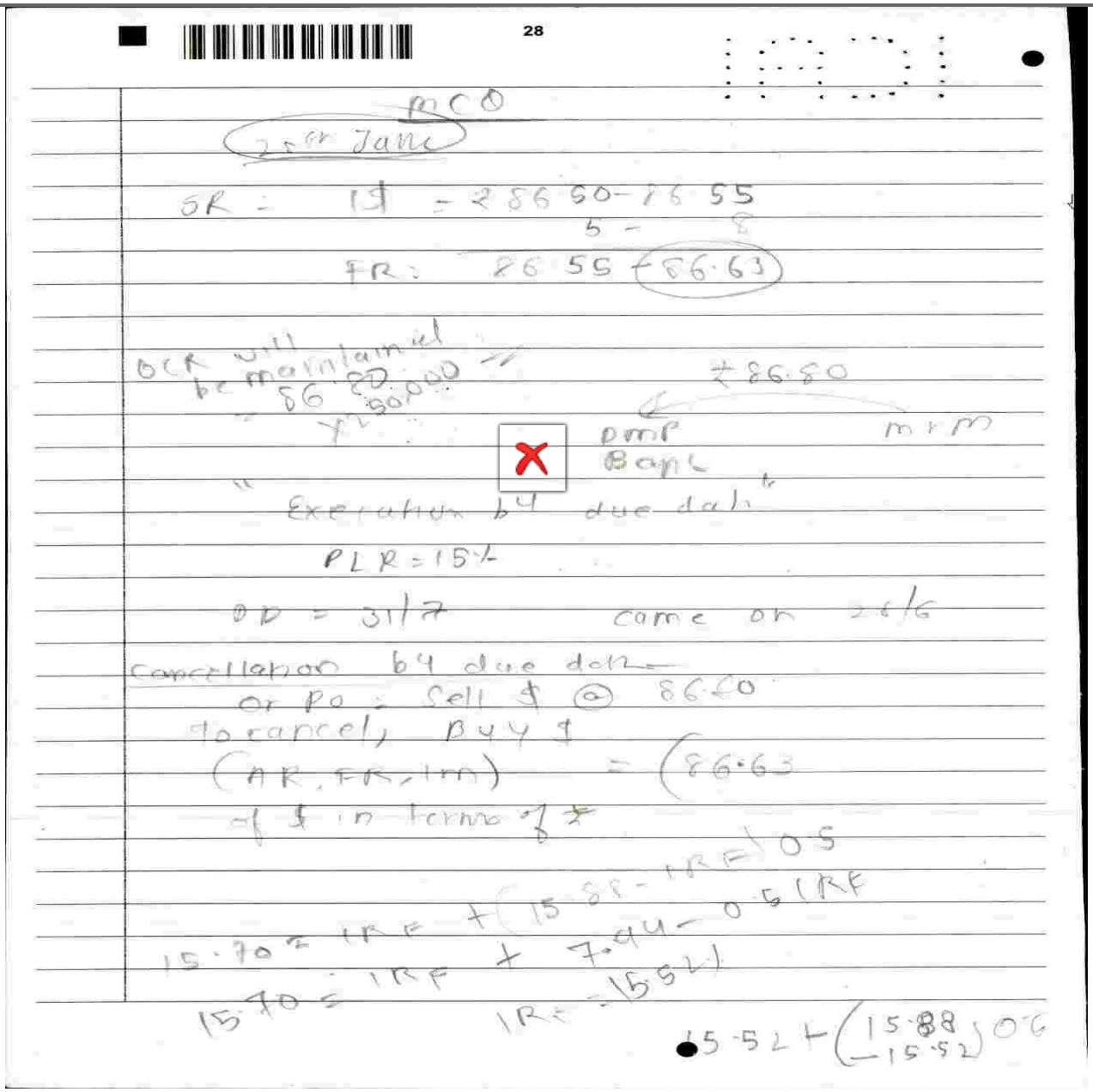
2 5

DO NOT WRITE ANYTHING HERE


26
Step 1
ock will be maintained @ 86.80/-
Step 2
Emergency Transaction
Cancellation
Sell to Bank @ 86.50
Buy : 86.63
CBR SRL
Swap Loss = 0.13 x 2,50,000
Interest on outlay of funds
86.50
86.80
Int on outlay of funds
= 0.3 x 250,000
= 75000 x 15% x 31/365
to be recovered = 955
by Bank
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE

Code:	**FN2AF177304**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**49**




28
BCO
2nd Jan
SR : 15 = 2880-1855
5 - 8
FR: 2055 86.63
OCR will be maintained
86.50
86.50
PMP Bank
mrm
Execution by due date
PLR = 15%
OD = 31/7
came on 2nd/6
Cancellation by due date
or Po - Sell $ @ 86.50
to cancel, Buy $
(AR, FR, Im) = (86.63
of $ in terms of ₹
15.70 = IRF + (15.88 - IRF) 0.5
15.70 = IRF + 7.94 - 0.5 IRF
IRF = 15.52
15.52 + (15.88 - 15.52) 0.6

The Institute of Chartered Accountants of India

Code: FN2AF177304
Subject : 02 Advanced Financial Management

Total Marks: 70
Marks Obtained : 49

Result Overview

Awarded Marks: 49

Max Marks:70

NA Not Attempted O Optional M Marked

Q1_Compulsory (Score: 13/14)

Question No	Awarded Marks	Maximum Marks	Status
1	13	14	M
1a	6	6	M
1b	4	4	M
1c	3	4	M

Q2_Q6 (Score: 36/56)

Question No	Awarded Marks	Maximum Marks	Status
2	5	14	M
2a	4	6	M
2b	1	4	M
2c	0	4	M
3	0	14	O
3a	0	6	O
3b	0	4	O
3c	0	4	O
4	10	14	M
4a	2	6	M
4b	4	4	M
4c	4	4	M

5	9	14	M
5a	3	8	M
5b	6	6	M
6	12	14	M
6a	5	6	M
6b	4	4	M
6c	3	4	M